

Liquid Insight

Summer retreat for USD bears

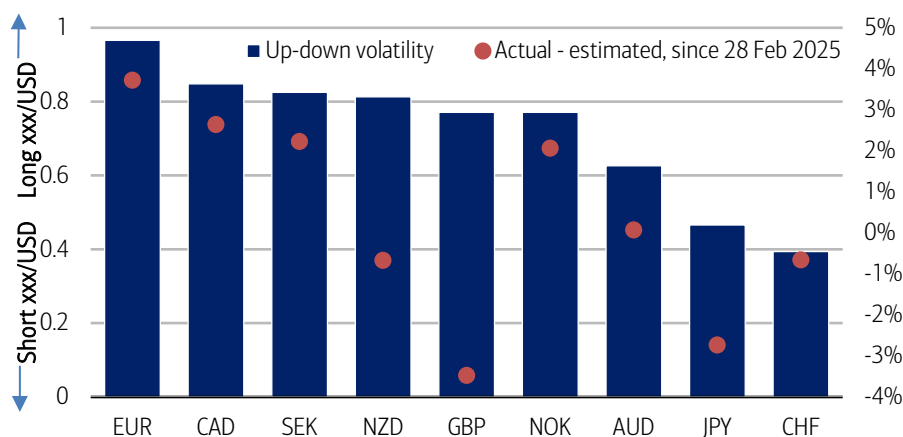
Key takeaways

- US policy risk premium appropriately priced for now with return of more "normal" USD betas to rate differentials & equities.
- Bearish USD but technicals/quant, Fed outlook & real money flows imply risk of summer bounce: USDJPY our preferred long.
- Price action (realized skew) & valuation (deviation from PCA estimate) flag EUR, CAD, SEK as alternative tactical USD longs.

By Adarsh Sinha

Chart of the Day: Up-down volatility vs. deviation from PCA estimate

EUR, CAD, SEK screen as vulnerable to summer USD rally; JPY and GBP have lagged due to fiscal risk



Source: Bloomberg. Note: PCA factors extracted from G10 pairs vs. USD

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Summer retreat for USD bears

We are bearish USD over the medium-term but risk of a summer rally has risen. Technical and quantitative indicators flag risk of reversal, Fed cuts off the table for now & muted real money USD selling. Moreover, US policy risk premium seems appropriately priced with the return of more "normal" betas to rate differentials and equities. Our preferred expression remains long USDJPY ahead of Japan's Upper House election. Price action (realized skew) and valuation (deviation from PCA estimate) flag EUR, CAD, SEK as alternative candidates for tactical USD longs (Chart of the Day).

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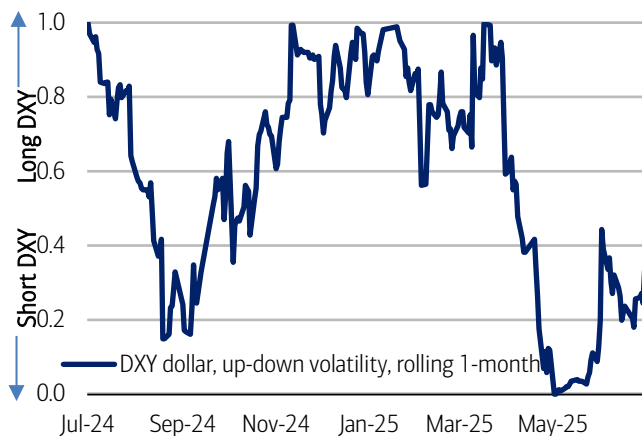
Risk of summer rally in USD

We are bearish medium-term on the US dollar but considered some upside risks in June on increasingly consensus views (see report: [Upside risks to our bearish USD view 05 June 2025](#)). At the time, we argued short USD positioning was not as crowded as bearish sentiment indicators implied (see report: [Where is the USD pain trade? 20 June 2025](#)). The realized price action of the USD (volatility on up vs. down days) continues to show that short positions have receded from the extreme levels observed in April-May (Exhibit 1), although with large disparity between currencies – EUR longs likely larger than JPY for instance (Exhibit 2).

Still we think the risk of a summer USD rally has risen: 1) our technical and quant indicators flag risk of reversal (see report: [Technical Advantage 07 July 2025](#)); 2) sticky inflation and resilient growth keep Fed cuts off the table for now; 3) positioning is not crowded but there are signs of slowdown in real money USD selling (see report: [Liquid Cross Border Flows 14 July 2025](#)); 4) US policy risk premium may be well priced for now.

Exhibit 1: DXY dollar index, up-down volatility (realized skew)

DXY price action implied crowded shorts Apr-May, but more neutral since...

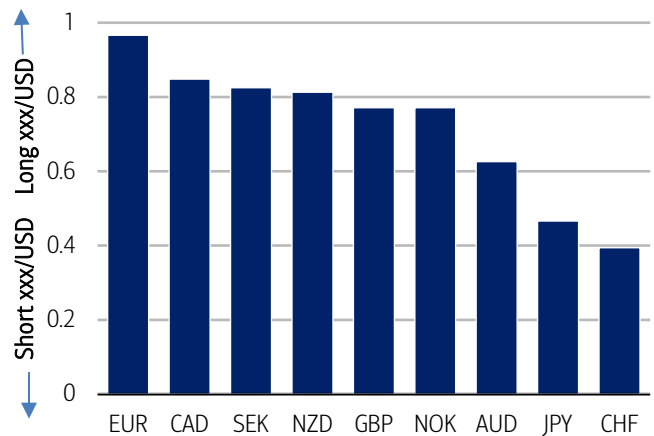


Source: Bloomberg

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Exhibit 2: G10 vs. USD, up-down volatility (realized skew), past 1m

... but with variation across currencies – EUR more crowded than JPY & CHF



Source: Bloomberg

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Is US policy risk premium sufficiently priced?

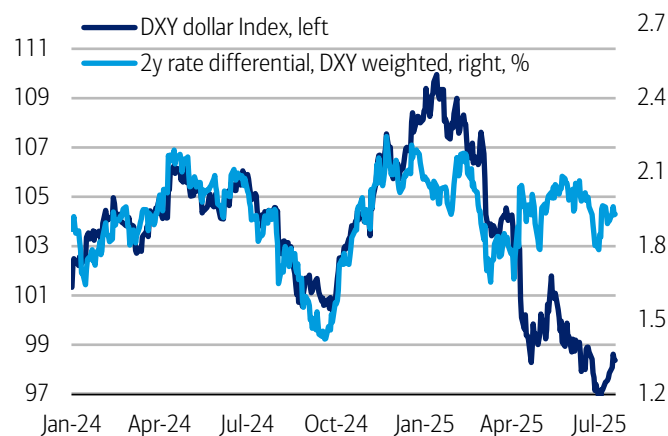
The last point above has been actively debated. Exhibit 3 shows a simple measure of risk premium – the divergence between the DXY and its weighted 2y rate differential. This gap has sustained but not widened since mid-June. Moreover, the July recovery in DXY has coincided with higher US rates vs. other major currencies, pointing to a return of fundamental drivers over risk premium. The positive correlation of the USD with US stocks was symptomatic of structural risk premium but this has also returned to “normal” negative levels over the past month (Exhibit 4).

US trade and fiscal policy risk premia in particular are likely well priced for now, given these have been top of mind for investors for some time. In contrast, Fed policy risk premium is probably not, evident in the USD sell-off this week following reported discussions to potentially remove the Fed Chair. Broadly speaking, we expect USD risk premium to remain elevated for some time yet but the short-term dynamics will likely be influenced more by cyclical drivers, most importantly US data leading up to the September FOMC meeting.

The August 1 tariff deadline remains a focus. We have argued that the USD impact is clouded by selective actions and little visibility on the tariff endpoint, in addition to the high risk premium discussed above (see report: [Tariff noise vs. data signal 11 July 2025](#)). The key upside risk to USD would be tariff escalation against key trading partners (especially the EU and China), without a concerted response from the rest of the world. In this scenario, higher US rates would likely outweigh higher US risk premium in terms of USD impact.

Exhibit 3: DXY dollar index vs. 2y rate differential

Risk premium gap sustains but recent USD recovery in line with wider US rate differential

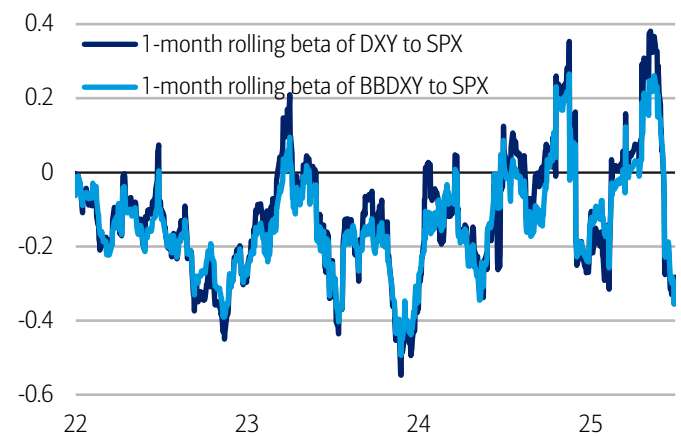


Source: Bloomberg

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Exhibit 4: Beta of USD indices to S&P 500

Positive beta of USD to S&P 500 was symptomatic of structural US risk premium, but this has recently returned to "normal" negative levels



Source: Bloomberg

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Agnostic sanity check of FX moves

The importance of risk premium as a driver of USD makes fundamental models less useful. We make a more agnostic assessment of recent FX moves by updating our principal component analysis (PCA) approach to identify drivers of G10 FX. We apply PCA to G10 pairs (vs. USD), extracting three components that explain the bulk (94%) of the co-movement between the exchange rates. To the extent these are "drivers" affecting all currencies, we assume they capture external factors. Looking at simple correlations of these components with market prices allows us to roughly infer the underlying drivers, which we have previously identified as the US dollar, risk and rates.

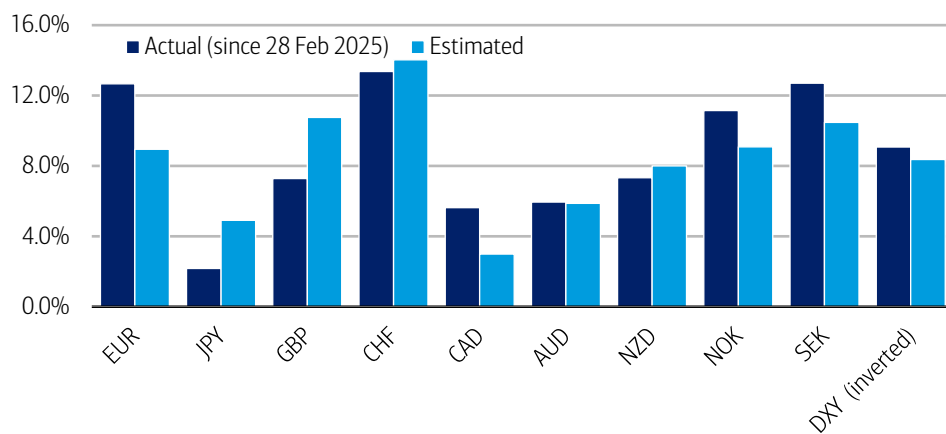
USD risk premium evident vs. EUR, CAD & Scandi FX; JPY & GBP lag on local fiscal risks

Exhibit 5 compares the actual vs. estimated performances of G10 pairs from 28 Feb-to-date, using weekly data (until 11 July). This period captures the accelerated USD sell-off, including the post-"Liberation Day" move. The estimated performance is out-of-sample, based on individual betas of each G10 pair (as well as the DXY index) to the three PCA components from 2019 to 2024. We highlight the following takeaways.

- The DXY dollar index is slightly weaker than its estimated move – this is largely by construction, as the first principal component that explains most of the FX variability is highly correlated with the dollar move. Still, it is consistent with US risk premium weighing on USD by more than this first component would imply.
- The Euro bloc currencies have outperformed their estimated moves, likely driven by positive risk premium following the German fiscal surprise. Scandi FX outperformance vs. estimates has sustained despite the sell-offs vs. EUR since June. In contrast, the CHF rally has been in line with the estimated move.
- CAD outperformance vs. the estimated change stands out within the commodity bloc, likely driven by higher CAD rates vs. the rest of the world. We maintain a bullish USDCAD view for the quarter, as risks skew toward more Bank of Canada cuts than currently priced in.
- JPY and GBP have been the clear laggards, most likely due to higher local fiscal risk premium (uncertainty surrounding Japan's Upper House election and the UK Chancellor). We prefer fading this risk premium in GBP rather than JPY where the Upper House election remains a major risk (see report: [Q&A on Japan's Upper House Election 14 July 2025](#)).

Exhibit 5: Actual vs. PCA-based changes (vs. USD) since 28 Feb 2025

USD risk premium evident vs. EUR, CAD & Scandi FX; JPY & GBP have lagged due to fiscal risks



Source: Bloomberg, Note: PCA factors extracted from G10 pairs vs. USD

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- **Global Rates Year Ahead 2025** – [Continental Drift](#), 24 November 2024
- **G10 FX Year Ahead 2025** – [Policy Uncertainty](#), 26 November 2024
- [Real Money's persistence](#), **Liquid Cross Border Flows**, 7 July 2025

Rates, FX & EM trades for 2025

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[Global FX weekly: Tariff noise vs. data signal 11 July 2025](#)

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